ASSESSING PRC STATE NEXUS

A Four-Level Evidentiary Framework for Public Attribution, Sanctions Analysis, and Criminal Referral

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NOTICE

This paper is not legal advice, not an intelligence assessment, not a charging document, not a sanctions recommendation, and not a government determination. It does not purport to establish criminal liability, satisfy evidentiary burdens in litigation, or substitute for classified intelligence, compulsory process, or agency adjudication.

Author's Note

This paper proposes an evidentiary framework for assessing PRC state nexus across public attribution, sanctions analysis, criminal referral, and related institutional use cases. It is designed to clarify analytic thresholds rather than to advocate a predetermined conclusion. The framework is intended for use by analysts, legal practitioners, and policymakers working from unclassified records. It does not constitute legal advice, an intelligence assessment, or a government determination of any kind.

Abstract

Attribution practice involving PRC state nexus fails not because relevant evidence is absent, but because the categories used to evaluate that evidence are insufficiently specified across institutional settings. Indicators sufficient for defensive warning, procurement restriction, or sanctions review do not satisfy the evidentiary thresholds required for public attribution, criminal process, or claims of direct state direction. This paper proposes a Four-Level State Nexus Framework—Presence, Linkage, Support, and Direct Tasking—to structure attribution analysis through multi-domain corroboration, clarifying how public attribution, legal process, administrative action, and defensive use each draw differently from a common evidentiary record rather than from a single shared standard.

Executive Summary

This paper proposes a Four-Level State Nexus Framework—Presence, Linkage, Support, and Direct Tasking—to address a structural failure in attribution practice. The categories used to evaluate evidence of PRC state involvement are routinely collapsed: geographic presence is treated as evidence of control, organizational linkage is conflated with operational direction, and material support is equated with direct tasking. Each conflation is analytically distinct, produces a different institutional error, and requires a different evidentiary response. The same evidentiary record may support defensive warning or due-diligence restriction without supporting indictment, designation, or public allegation of direct state tasking.

Each level maps to a different evidentiary threshold and a distinct set of institutional consequences. Presence establishes context and supports due-diligence review. Linkage supports a low-to-moderate confidence assessment of state-adjacent activity. Support supports sanctions screening, procurement restriction, and public advisory notification. Direct Tasking supports criminal referral, executive designation, and coordinated allied attribution. Failure to establish the fourth level does not erase the institutional relevance of the second or third—a distinction that most existing attribution practice fails to preserve.

The analytical question this paper addresses is not whether concealment exists—it does—*but whether independently corroborated evidence can support a structured, institution-ready assessment of state nexus despite it.*

1. Introduction

PRC state-nexus attribution fails not because evidence is absent, but because the categories used to evaluate that evidence are insufficiently specified. Public reporting, sanctions analysis, and criminal investigative logic do not reliably distinguish between an entity that is geographically present in PRC jurisdiction, organizationally linked to PRC actors, materially supported by PRC institutions, and directly tasked by a PRC state organ. Conflating those four relationships produces attribution products that are institutionally unusable: too imprecise for prosecution, too general for designation, too undifferentiated for diplomatic deployment. This paper proposes the Four-Level State Nexus Framework to address that failure directly.

The framework is calibrated to the evidentiary standards and institutional logics of open-source analysis, sanctions review, criminal referral, and public attribution. It applies equally to analysts, legal practitioners, and policymakers working from unclassified records. It does not require adjudicated findings to be useful; it requires evidentiary discipline at each level of assessment.

The paper proceeds from problem diagnosis through framework presentation, institutional calibration, evidentiary architecture, and operational guidance, and concludes with explicit methodological limits.

2. Why Existing Attribution Practice Often Fails

2.1 The Category Collapse Problem

The central failure in open-source PRC attribution is category collapse: treating geographic presence, organizational affiliation, financial linkage, and direct operational tasking as interchangeable evidence of state control. They are not interchangeable. Each represents a distinct relationship between a non-state actor and the PRC state apparatus. Each carries different evidentiary requirements, different institutional consequences, and different legal significance. Treating them as equivalent produces attribution products that are analytically imprecise and institutionally unusable.

When an entity is described as “PRC-linked” without specifying whether that linkage reflects incorporation in PRC jurisdiction, ownership by a PRC national, receipt of PRC government funding, or documented receipt of operational direction from a PRC state organ, the analytic product provides insufficient basis for sanctions analysis, criminal referral, or public attribution—each of which requires a different evidentiary showing.

2.2 Institution Mismatch

The second failure is institution mismatch: applying attribution language calibrated for one institutional setting in a context that requires a different evidentiary standard. Evidence sufficient for a defensive warning or a CISA advisory does not satisfy the threshold for an OFAC designation, a DOJ indictment, or a State Department public attribution statement. Each action rests on different legal authority, different procedural requirements, and different burden structures. Analytical products that conflate those standards serve none of those purposes and frustrate coordinated response.

2.3 Concealment and Partial Visibility

Attribution analysis involving PRC state-nexus relationships operates against deliberate concealment. PRC state practice uses intermediary entities—corporate shells, research institutions, technology transfer vehicles, and nominally private firms—to sever the visible link between operational activity and state authorization. The structure is not incidental; it is designed to frustrate attribution at the Direct Tasking level while leaving Presence and Linkage indicators in place. That design creates persistent pressure on analysts to either overclaim control from weak indicators or abandon the analysis at a level below what the record supports.

The correct analytical response is not to lower the evidentiary threshold but to build a structured assessment from partial visibility through multi-domain corroboration. That is the core methodological function of the Four-Level State Nexus Framework: it reduces the analytic advantage of concealment by forcing attribution questions into repeatable evidentiary categories that can be assessed even when direct evidence of state authorization is unavailable.

2.4 The Consequence of These Failures

When attribution analysis fails in these ways, the consequences are operational, not merely academic. Overclaimed findings are dismissed by legal practitioners, rejected in adversarial proceedings, and exploited by the subject entity to challenge the analytic basis. Underclaimed findings leave Support-level relationships undercharacterized and actionable state-nexus assessments unused. The most consistent error is at the boundary between Level 3 and Level 4: analysts either collapse Support into Direct Tasking without sufficient evidence, or treat the absence of Direct Tasking proof as evidence that Support does not exist. Both errors have institutional costs.

3. The Four-Level State Nexus Framework

The Four-Level State Nexus Framework proposes four analytically distinct categories for assessing the relationship between a non-state actor or entity and the PRC state apparatus. These categories are not a spectrum of severity but a typology of relationships. An entity

can occupy more than one level simultaneously, and the assessment of which level applies is always an evidentiary judgment, not a presumption. The framework does not assign culpability; it organizes evidentiary relationships for institution-specific assessment.

The four levels are:

LEVEL 1 PRESENCE	The entity is geographically located in PRC jurisdiction, incorporated under PRC law, or operated by PRC nationals. Presence alone does not establish state linkage, support, or tasking. It is a necessary but not sufficient condition for higher-level assessments and is relevant primarily as context that informs the assessment of other evidence. **Threshold:** *Documentary evidence of jurisdiction, incorporation, or nationality. No inference of state direction is warranted from Presence alone.*
LEVEL 2 LINKAGE	The entity has documented organizational, personnel, or financial connections to PRC state institutions, state-affiliated entities, or individuals with documented state affiliations. Linkage is a pattern relationship, not a control relationship. It may reflect routine engagement with the state apparatus rather than operational direction. **Threshold:** *Corroborated evidence across at least two independent domains. Linkage supports a low-to-moderate confidence assessment of state-adjacent activity but does not establish operational control or authorization.*
LEVEL 3 SUPPORT	The entity receives material, financial, technical, or institutional support from PRC state organs or their proxies in a manner that benefits PRC state objectives, whether or not the entity acts under direct operational direction. Support may be active or passive; it includes documented protection, toleration, and systematic non-interference. Evidence of recurring facilitation, operational protection, or mission-consistent enablement may support a Support assessment without establishing Direct Tasking. A Support finding may be probative of state-nexus for purposes of administrative action, sanctions screening, and procurement restriction without yet satisfying the evidentiary requirements of criminal referral or formal public attribution. **Threshold:** *Corroborated evidence across multiple domains, with documented support relationships. Support supports a moderate-to-high confidence assessment and may be sufficient for sanctions screening, administrative risk review, and defensive public warning.*
LEVEL 4	The entity acts under documented authorization, direction, or control of a

DIRECT TASKING	PRC state organ. Direct Tasking requires evidence of the tasking relationship itself—not merely its effects. Direct Tasking ordinarily requires evidence probative of instruction, command relationship, formal authorization, directed resourcing, or comparable indicia of state control. This is the highest evidentiary level and corresponds to the threshold required for criminal referral, formal sanctions designation, and public attribution at the highest confidence level. Analytic convergence across multiple domains can justify a high-confidence state-nexus assessment without eliminating the distinction between inferential judgment and adjudicated proof; that distinction is this framework's most critical operating principle. **Threshold:** *Multi-domain corroborated evidence, including evidence of the authorization or direction relationship. High confidence required. This level supports criminal indictment, executive designation, and coordinated allied attribution.*

The framework's core corroboration rule applies across all four levels: no single indicator is ordinarily sufficient to assess PRC state nexus; higher-confidence judgments require convergent, independently corroborated evidence across multiple domains. The boundary between Level 3 and Level 4 is the framework's most consequential distinction. Most attribution errors concentrate there: analysts overclaim Direct Tasking from evidence that establishes only Support, or they treat the absence of Direct Tasking proof as evidence that no meaningful state relationship exists. Evidence of mission alignment, resource asymmetry, or sustained toleration supports a Support assessment. It does not establish Direct Tasking. That distinction is not a technicality. It governs whether the resulting finding is usable for prosecution, designation, or public attribution—or whether it collapses under institutional review.

4. Institutional and Legal Context

4.0 Institutional Thresholds

Different institutional processes operate on different evidentiary thresholds, and an analytical product that fails to distinguish among them will satisfy none. Analytic confidence is not prosecutorial sufficiency. Public attribution is not indictment. Sanctions designation rests on a different evidentiary structure than criminal burden of proof. Procurement and due-diligence regimes operate under lower but structured thresholds. Defensive warning requires assessed technical patterns, not an exhausted state-nexus evidentiary record.

Institutional threshold is a variable, not a constant. The same evidentiary record may support a low-confidence Linkage finding sufficient for due-diligence escalation, a

moderate-confidence Support finding sufficient for sanctions screening, and a high-confidence Direct Tasking finding sufficient for criminal referral consideration—each drawing from the same record but applying institution-specific standards.

4.1 Department of State

Public attribution is one response option among several, not an automatic consequence of evidentiary sufficiency. A decision to attribute publicly turns on source-protection requirements, allied coordination, diplomatic consequence management, escalation risk, and domestic and international legal posture—not on evidentiary sufficiency alone. Evidentiary sufficiency for public statement is a necessary but not sufficient condition for attribution. Findings intended to inform an attribution decision should present assessed responsibility rather than certainty, use evidence-based attribution language calibrated to the specificity appropriate for diplomatic use, and identify the framework-level assessment that the available record supports. A moderate-confidence Linkage or Support assessment may support coordinated defensive warning or a non-public advisory; it does not ordinarily support a formal public attribution statement or coordinated allied attribution without additional evidentiary development.

4.2 Department of the Treasury / OFAC

OFAC designation requires documented ownership, control, or nexus to a designated person or program under the applicable authority. Ownership and control are legally distinct: ownership is established by documented equity interests; control requires evidence of operational direction or decision-making authority. The 50 Percent Rule treats entities owned 50 percent or more in aggregate by one or more blocked persons as themselves blocked, regardless of formal designation. Beneficial ownership chains, indirect ownership structures, and compliance risk must be documented using the totality-of-the-circumstances standard that governs OFAC analysis. Terms such as “front company” and “intermediary entity” are appropriate when ownership or control is documentarily established; they are not appropriate as rhetorical shorthand for entities whose relationship to a designated person or program has not been traced. A framework-level Support or Direct Tasking assessment identifies the evidentiary record relevant to OFAC review; it does not constitute a designation analysis or determination.

4.3 Department of Justice

Criminal referral requires a corroborated evidentiary record establishing specific criminal acts, specific actors, specific intent, and jurisdictional nexus. The prosecutorial threshold is distinct from and higher than the threshold for administrative designation or public warning; analytic confidence at the Support or Direct Tasking level does not itself establish charging sufficiency. The relevant question for criminal referral is not whether the record supports a state-nexus assessment but whether the record supports the specific elements of the applicable offense. Findings intended to support referral should distinguish between what the available record establishes and what it suggests, identify

the evidentiary basis for each specific element, and avoid presenting analytic judgments in terms that conflate circumstantial pattern evidence with direct evidence of criminal conduct. Admissibility of specific evidence items is beyond the scope of any open-source analytical assessment and requires independent legal review.

4.4 Intelligence Community Analytic Standards

ODNI analytic standards require that assessments carry explicit confidence levels, identify key assumptions and uncertainties, distinguish between sourced judgments and analytical inferences, and acknowledge alternative explanations. An open-source state-nexus assessment that does not carry explicit confidence levels, labeled inferences, and stated alternative hypotheses is not legible to interagency audiences trained in estimative standards—and is vulnerable to dismissal or revision precisely where its conclusions are most consequential. The analytic standard is not lower because the source record is unclassified. Estimative discipline applies regardless of the classification environment in which the assessment will be consumed.

5. Evidentiary Standard and Corroboration Rule

No single evidentiary domain is ordinarily sufficient to support a state-nexus assessment above the Presence level. Evidence drawn from technical infrastructure, corporate records, financial flows, personnel connections, operational behavior, or protection patterns must be independently corroborated across multiple domains before a higher-confidence assessment is warranted. Five principles govern that corroboration requirement.

5.1 Independence

Corroborating evidence must be independently derived, meaning it must not simply restate or re-source the same underlying fact. Two reports citing the same original source do not constitute independent corroboration. Evidence drawn from separate investigative streams, separate document sets, or separate analytical methodologies may constitute independent corroboration if each piece stands on its own evidentiary basis.

5.2 Convergence

Higher-confidence assessments require convergent evidence: multiple independent indicators that point toward the same conclusion. Convergence is not mere accumulation. A large volume of Presence-level evidence does not produce a Linkage assessment. Convergence requires that evidence from separate domains, analyzed independently, yields the same directional finding.

5.3 Proportionality

The evidentiary threshold for a given assessment should be proportionate to the institutional consequence of that assessment. A finding that will inform a defensive warning requires a lower evidentiary threshold than a finding that will inform a sanctions designation or a criminal referral. Analysts should calibrate their threshold explicitly to the institutional use case rather than applying a single standard across all applications.

5.4 Documentation

All evidentiary claims should be traceable to specific, documentable sources. Tradecraft judgments and analytic inferences should be labeled as such and distinguished from findings that are directly supported by documentary evidence.

5.5 Inference, Corroboration, and Adjudication

Inference is unavoidable in state-nexus work. The problem is not inference itself, but unmanaged inference: conclusions that outrun their evidentiary basis without acknowledgment, discipline, or threshold calibration. This framework is designed to structure inference rather than eliminate it.

Corroboration disciplines inference by requiring that conclusions be supported by convergent, independently derived evidence across multiple domains. A conclusion that is inferentially sound but corroborated only within a single domain should carry a lower confidence level and a more explicit statement of its inferential basis than a conclusion supported by multi-domain convergence.

Adjudication requires narrower forms of proof than analytic assessment. Public reporting may justify analytic suspicion. Structured open-source records may support due-diligence escalation and risk flagging. Documentary and transactional evidence may strengthen administrative relevance and sanctions applicability. Legal process, witness testimony, seized communications, and authenticated internal records are often what move a case from analytic inference toward prosecutable or designation-ready findings. Analytic convergence can justify a high-confidence state-nexus assessment without eliminating the distinction between inferential judgment and adjudicated proof.

6. Multi-Domain Evidentiary Architecture

State-nexus evidence organizes into six domains: technical infrastructure, organizational and corporate structure, financial flows, personnel, operational patterns, and protection or toleration. Each domain has distinct evidentiary strengths and limitations. No domain establishes Direct Tasking on its own. Higher-confidence assessments require convergence across domains that are genuinely independent in their sourcing and methodology.

6.1 Technical / Infrastructure

Technical evidence includes IP addresses, domain registrations, hosting infrastructure, malware signatures, TTPs (tactics, techniques, and procedures), code artifacts, and network infrastructure patterns. Technical evidence is useful for establishing Presence and documenting Linkage when infrastructure patterns are consistent with known state-affiliated activity. Technical evidence alone cannot establish Direct Tasking or organizational control.

6.2 Organizational / Corporate

Organizational evidence includes corporate registration documents, beneficial ownership records, director and officer filings, subsidiary and affiliate structures, and documented relationships between entities. Organizational evidence is the primary basis for Linkage and Support assessments and is essential for OFAC-standard analysis. It cannot establish operational direction without additional evidence of control.

6.3 Financial

Financial evidence includes transaction records, funding sources, payment patterns, and documented evasion practices such as layering through intermediaries. Financial evidence is useful for establishing Support relationships and for documenting sanctions evasion. Financial patterns consistent with concealment strengthen higher-level assessments when corroborated by other domains.

6.4 Personnel

Personnel evidence includes documented employment history, credential affiliations, travel patterns, professional associations, and prior government or military service. Personnel connections between an entity's key actors and PRC state institutions can support Linkage and, when combined with other evidence, Support assessments. Personnel evidence alone is rarely sufficient above the Linkage level.

6.5 Operational

Operational evidence includes the timing, targeting, and methodology of specific activities relative to documented PRC state priorities and directives. When operational patterns align with known state objectives and are consistent with state-level resource and access requirements, they support higher-level Support and Direct Tasking assessments. Operational evidence alone cannot establish the authorization relationship required for Direct Tasking; it is most probative when corroborated by organizational and personnel evidence.

6.6 Protection / Toleration

Protection and toleration evidence includes documented patterns of non-interference, deflection of law enforcement, selective prosecution, and affirmative state protection of an entity’s activities. Consistent, documented protection by state authorities strengthens

Support assessments. Protection evidence alone cannot establish Direct Tasking without corroborating evidence of the authorization or direction relationship; when combined with operational evidence, it can support a Direct Tasking assessment. This domain is routinely underweighted in open-source analysis and warrants explicit attention in any state-nexus assessment.

The following table summarizes what each evidence domain can and cannot support, and identifies the primary institutional consumer for each type of finding.

Evidence Domain	Can Support	Cannot Establish Alone	Primary Institutional Consumer
Technical / Infrastructure	Presence; Linkage when pattern is consistent	Direct Tasking; organizational control	CISA; NSA; DOJ cyber units
Organizational / Corporate	Linkage; Support when ownership or control is traceable	Proof of operational direction	OFAC; DOJ; Commerce / BIS
Financial	Support; funding nexus; evasion patterns	Formal tasking relationship	OFAC; FinCEN; DOJ
Personnel	Linkage; Support when credential, affiliation, or travel patterns are documented	Mission authorization or chain of command	FBI; DOJ; State
Operational	Support; Direct Tasking when timing, targeting, and TTPs align with state priorities	Formal tasking orders	DOJ; IC; State
Protection / Toleration	Linkage; Support when documented non-interference is consistent and repeated	Active direction; Direct Tasking	State; NSC; IC

7. Confidence Levels and Thresholds

The framework applies four confidence levels, aligned with ODNI analytic standards for estimative language. Every major finding should carry an explicit confidence level. Confidence levels are analytic estimates, not statistical probabilities. They reflect the analyst's judgment about the weight, independence, and convergence of available evidence and are subject to revision as new information becomes available. A finding that

is analytically sufficient for one institutional purpose—such as due-diligence escalation or sanctions screening—does not automatically satisfy a higher threshold such as criminal referral or public attribution. The confidence level and the institutional use case must be stated together.

Confidence Level	Typical Level	Evidentiary Basis	Institutional Utility
Low Confidence	Presence	Single domain; circumstantial; unverified reporting	Defensive warning; internal risk flagging
Moderate Confidence	Linkage / Support	Two or more domains; corroborated; documented pattern	Public attribution consideration; sanctions screening
High Confidence	Support / Direct Tasking	Multi-domain; independently corroborated; documented control or authorization	Formal sanctions; criminal referral; public attribution
High Confidence + Direct Nexus	Direct Tasking	Documented tasking; chain of command; contemporaneous operational evidence	Criminal indictment; executive designation; allied coordination

Estimative language must be applied consistently with these levels. High-confidence assessments use: “The available record supports a high-confidence assessment that…” or “The analytic judgment is that…” Moderate-confidence assessments use: “The available record is consistent with… but does not establish…” or “The presently available record supports a moderate-confidence assessment of…” Low-confidence assessments use: “Limited available information indicates…” or “The available record does not exclude…” The phrase “the record does not establish” applies when evidence is insufficient to support a given level. Avoid “clearly,” “obviously,” “undeniably,” and “proves” in any context short of adjudicated proof.

7.1 What Is Known vs. What Is Inferred

Every state-nexus assessment contains both documented findings and analytic inferences. Conflating these two layers is a primary source of overconfident conclusions. Analysts should explicitly distinguish what the available record establishes from what the analyst infers from it. A well-structured assessment separates: (a) what is documented—incorporation records, financial transaction data, personnel affiliations, technical signatures, and operational patterns drawn from primary sources; (b) what is inferred—the analyst’s judgment about what those documented facts mean for state nexus, organizational control, or operational direction; and (c) what would change the judgment—the specific additional evidence whose presence or absence would materially elevate or reduce the confidence assessment.

Source reliability and analytic confidence are also distinct layers and must not be conflated. A highly reliable corporate registration document establishes what it records; it does not by itself establish the operational significance of the corporate structure. A credible reporting source may accurately describe an observed organizational relationship without that relationship establishing the state-nexus level the analyst is trying to assess. Each layer—source reliability, evidentiary weight, and analytic confidence—must be evaluated independently before a combined assessment is produced.

7.2 Alternative Hypotheses

State-nexus assessments should document and test alternative hypotheses before adopting a primary conclusion. The failure to document competing explanations is a primary source of analytic failure and a primary vulnerability in any institutional use of the assessment. For each major state-nexus finding, analysts should identify: (a) alternative explanations that the available record is also consistent with; (b) the evidence that most strongly counters each alternative; and (c) what additional evidence would be required to exclude a credible alternative. An assessment that cannot identify any plausible alternative explanation should be treated with heightened scrutiny rather than elevated confidence.

8. Failure Modes and False Attribution Risks

The following are the most common sources of false or overstated attribution in PRC state-nexus analysis.

8.1 Jurisdictional Conflation

Treating geographic presence in PRC jurisdiction as evidence of state control is the most common failure mode. PRC incorporation, PRC-national ownership, or PRC-located infrastructure does not establish that an entity is directed by a PRC state organ. Presence is necessary context, not sufficient evidence. Assessments that conflate jurisdiction with control should be revised.

8.2 Mission Alignment as Tasking

An entity whose activities are consistent with PRC state objectives is not thereby established as a state-tasked actor. Mission alignment may reflect shared interests, shared ideology, or opportunistic behavior rather than operational direction. Direct Tasking requires evidence of the authorization relationship, not merely of behavioral consistency with state priorities.

8.3 Single-Domain Overconfidence

A strong evidentiary finding in a single domain does not produce a high-confidence multi-domain assessment. Technical attribution to PRC infrastructure does not establish

organizational control. Financial connections to PRC entities do not establish operational tasking. Each domain's evidentiary weight is limited by what that domain can establish on its own.

8.4 Shell Company Shortcuts

The existence of a corporate shell, offshore structure, or nominally private intermediary is consistent with PRC state evasion practices but does not by itself establish state control. OFAC analysis requires documented ownership or control, not the mere existence of a complex structure. Shell company patterns strengthen a finding when corroborated by other evidence; they do not substitute for that corroboration.

8.5 Circular Sourcing

Citing multiple reports that share a common original source as independent corroboration is a structural error that produces false confidence. Analysts should trace each piece of evidence to its original basis and assess whether the corroborating record is genuinely independent before elevating a confidence assessment.

8.6 Advocacy Capture

Attribution analysis produced in an advocacy context—or produced with a predetermined conclusion—is structurally vulnerable to selection bias, threshold shifting, and failure-mode suppression. A state-nexus assessment that cannot produce a finding below the analyst's preferred level is not a framework. It is a conclusion dressed as method. Evidentiary discipline requires that the corroboration rule be applied in both directions: it must be as capable of reducing an assessment as elevating one.

9. Institution-Specific Use Cases

9.1 Public Attribution (Department of State)

Public attribution decisions require a high-confidence assessment of at least the Support level, with multi-domain corroborated evidence. The attribution statement should use assessed responsibility language, identify the evidentiary basis at a level of specificity appropriate to diplomatic use, and be calibrated for allied coordination. A moderate-confidence Linkage assessment may support a non-public advisory or defensive warning but is not ordinarily sufficient for a formal public attribution statement.

9.2 Sanctions Designation (OFAC)

Sanctions designation requires documented ownership, control, or nexus to a designated person or program under the applicable authority. The framework's Support level corresponds to the threshold at which sanctions screening is warranted. Direct Tasking evidence strengthens an executive designation under programs requiring a higher nexus

showing. Analysts providing OFAC-support analysis should document beneficial ownership chains, aggregate ownership under the 50 Percent Rule, and use the totality-of-the-circumstances standard consistently. A framework-level assessment does not constitute an OFAC determination; it structures the evidentiary record for agency review and does not compel or substitute for formal designation action.

9.3 Criminal Referral (DOJ / FBI)

Criminal referral requires specific acts, specific actors, specific criminal intent, and jurisdictional nexus. The Direct Tasking level corresponds most closely to the threshold for criminal referral, though referral does not require proof of guilt and the specific criminal theory governs what the evidentiary record must establish. Analysts supporting criminal referral should distinguish clearly between what the record establishes and what it suggests, and should avoid using administrative or policy-standard language in a criminal referral context.

9.4 Defensive Warning and Risk Review

Defensive warnings and internal risk assessments operate under lower evidentiary thresholds than formal institutional actions. A low-confidence Presence assessment may be sufficient to warrant heightened due diligence. A moderate-confidence Linkage or Support assessment may warrant operational restrictions, enhanced screening, or advisory notification. Analysts producing defensive assessments should label the threshold explicitly and avoid using defensive warning language in contexts where higher-threshold institutional action is contemplated.

9.5 Export Control and Administrative Review (Commerce / BIS)

Export control review under Export Administration Regulations requires documented nexus between a transaction and a restricted end-user, end-use, or destination. Organizational and financial evidence from the framework's corroboration matrix is directly applicable to Entity List review and license exception analysis. Support-level findings with documented organizational linkage to PRC military or intelligence end-users may support administrative action under existing export control authorities. Framework-level findings do not constitute licensing determinations or Entity List additions; they identify the evidentiary basis relevant to those processes and identify the threshold at which formal administrative review is warranted.

10. Model Findings Language

The following examples illustrate appropriate findings language at each level of the framework. Analysts should adapt this language to the specific evidentiary record and institutional context of their assessment.

Presence-Level Finding (Low Confidence)

[Entity] is incorporated under PRC law and its principal operations are located within PRC jurisdiction. The available record establishes geographic and jurisdictional presence but does not support an assessment of organizational linkage to PRC state institutions, material support from PRC state organs, or direct tasking by a PRC state authority.

Linkage-Level Finding (Moderate Confidence)

The available record is consistent with PRC-linked organizational and personnel connections between [Entity] and [specific PRC institution or affiliated actor]. Corroborated evidence from [domain A] and [domain B] supports a moderate-confidence assessment of organizational Linkage. The available record does not establish a material support relationship or direct tasking by a PRC state organ. This finding is analytically sufficient for due-diligence escalation and risk flagging; it is not analytically sufficient for sanctions designation, criminal referral, or formal public attribution. What would materially change this judgment: documented financial flows from PRC state organs to [Entity]; evidence of operational direction rather than organizational connection; or independent corroboration from a third evidentiary domain.

Support-Level Finding (High Confidence)

The available record supports a high-confidence assessment that [Entity] has received material and institutional Support from [specific PRC state organ or affiliated entity]. Convergent evidence from [domain A], [domain B], and [domain C] documents [specific support relationship]. This finding is analytically sufficient for sanctions screening, procurement restriction review, and public advisory notification. It is not analytically sufficient for criminal referral or a public attribution claim of direct state tasking; the available record does not establish the existence of a direct tasking relationship or documented authorization from a PRC state organ. What would materially change this judgment: authenticated internal communications evidencing operational direction; documented evidence of task assignment from a PRC state organ; or identified chain-of-command structure between [Entity] and a PRC ministry or security organ.

Direct Tasking-Level Finding (High Confidence with Direct Nexus Evidence)

The available record supports a high-confidence assessment of Direct Tasking. Corroborated evidence from [domain A], [domain B], and [domain C] documents [specific tasking relationship], including [specific evidence of authorization or direction]. The analytic judgment is that [Entity] acted under the direction of [specific PRC state organ] in connection with [specific activity or operation]. This finding is analytically sufficient for criminal referral consideration, executive designation, and coordinated allied attribution. Admissibility of specific evidence items in a criminal proceeding is beyond the scope of this analytical assessment and requires independent legal review. What would materially

strengthen this judgment: authenticated internal records, witness testimony, or compulsory process yielding direct evidence of the authorization relationship; independent collection from a separate evidentiary stream with distinct failure modes confirming the direction relationship.

11. Limits of the Method

The Four-Level State Nexus Framework is a methodology for structuring analytical judgment under conditions of partial visibility and deliberate concealment. It is not a substitute for and does not displace the following:

- Classified intelligence assessments with access to sources and methods unavailable in the open-source record.
- Compulsory legal process including subpoenas, warrants, and formal discovery procedures that can compel production of evidence not available through open-source means.
- Agency adjudication and administrative proceedings that apply specific legal authorities, procedural requirements, and burden-of-proof standards.
- Expert testimony and forensic analysis by qualified specialists in technical, financial, or legal domains.

The framework's findings are analytical judgments, not legal conclusions. A high-confidence Direct Tasking assessment is not equivalent to a judicial finding or an agency determination. It establishes that the available open-source record supports that characterization at that evidentiary level—not that the characterization has been adjudicated.

The framework is also limited by the quality of the underlying evidentiary record. In cases of highly sophisticated concealment, the available open-source record may be insufficient to support assessments above the Presence or Linkage level regardless of the analytical methodology applied. The appropriate response to that limitation is to reflect it accurately in the confidence assessment and findings language rather than to lower the analytical threshold.

The analytic product produced by this framework should be understood as a structured confidence assessment rather than as a mechanical trigger for institutional action. The assessment documents confidence levels, corroboration structure, alternative hypotheses, and the evidentiary basis for each major judgment. Legal and policy review must then assess whether the resulting package is sufficient for the category of decision under consideration. Where material uncertainty remains, additional independent corroboration from a separate evidentiary architecture—including, where available, legal process, human source confirmation, or authenticated internal records—may be required

before a high-consequence decision is analytically supportable. A structured state-nexus methodology reduces the analytic advantage of concealment by forcing attribution questions into repeatable evidentiary categories; it does not eliminate the residual uncertainty that responsible institutional decision-making must account for.

12. Conclusion

The central problem in PRC state-nexus attribution is not evidence scarcity. It is the absence of analytic structure: categories that are imprecise, thresholds that are institution-agnostic, and a persistent conflation of presence, linkage, support, and direct tasking that produces findings no institutional consumer can use.

The Four-Level State Nexus Framework—Presence, Linkage, Support, Direct Tasking—addresses that problem by imposing evidentiary discipline at each level of assessment, calibrating findings to institutional consequences, and preserving the distinction between inferential judgment and adjudicated proof. It does not make attribution easier. It makes attribution more defensible.

The analytical question is not whether concealment exists—it does—but whether independently corroborated evidence can support a structured, institution-ready assessment of state nexus despite it. This framework is designed to make that question answerable.

Appendix A: Glossary of Key Terms

Assessed Responsibility: The determination by a relevant authority that a state or non-state actor is responsible for a specific action, based on evaluated evidence. Assessed responsibility is an analytical judgment, not a legal finding.

Beneficial Ownership: The natural person or persons who ultimately own or control a legal entity, directly or indirectly, regardless of the nominal ownership structure.

Confidence Level: An explicit characterization of the analyst's degree of certainty in an assessment, derived from the quality, independence, and convergence of the underlying evidence. Standard levels in this framework are Low, Moderate, High, and High with Direct Nexus Evidence.

Corroboration: Independent confirmation of a finding from a source or domain that does not share the same underlying evidentiary basis as the original finding.

Direct Tasking: Level 4 of the Four-Level State Nexus Framework. An entity acts under documented authorization, direction, or control of a PRC state organ.

Estimative Language: Standardized language used to convey degrees of analytical certainty, aligned with ODNI standards. Includes terms such as 'assess,' 'judge,' 'estimate,' and associated confidence qualifiers.

Fifty Percent Rule: OFAC policy that treats entities owned 50 percent or more, in aggregate, by one or more blocked persons as themselves blocked, regardless of whether the entity is formally designated.

Institutional Mismatch: The error of applying evidentiary language or analytical findings calibrated to one institutional setting (e.g., public warning) in a context where a different and higher evidentiary standard applies (e.g., criminal referral or sanctions designation).

Linkage: Level 2 of the Four-Level State Nexus Framework. Documented organizational, personnel, or financial connections to PRC state institutions or affiliated entities.

Nexus: A documented connection between an entity or activity and a specified legal authority, program, or institutional category. Nexus is a legal term of art in sanctions and export control analysis.

Presence: Level 1 of the Four-Level State Nexus Framework. Geographic location in PRC jurisdiction, incorporation under PRC law, or operation by PRC nationals.

Support: Level 3 of the Four-Level State Nexus Framework. Material, financial, technical, or institutional support from PRC state organs or proxies in a manner that benefits PRC state objectives.

Totality of the Circumstances: The OFAC analytic standard that evaluates all available evidence in combination rather than requiring any single element to be independently dispositive.

Appendix B: Institutional Terminology Reference

Department of State

- Responsible state behavior
- Public attribution
- Evidence-based attribution
- Assessed responsibility
- One response option among several
- Consistent with international law
- Coordinated with allies and partners
- Malicious cyber activity
- Disruptive and destabilizing activity
- Policy consequences

Department of the Treasury / OFAC

- Designated person / blocked person
- Blocked property and interests in property
- Beneficial ownership / indirect ownership
- Aggregate ownership / 50 Percent Rule
- Nexus to designated parties
- Front company / intermediary entity
- Totality of the circumstances
- Evasion or attempted evasion
- Compliance risk / due diligence
- Deceptive practices

ODNI / Analytic Tradecraft

- Assess / judge / estimate
- Analytic judgment / confidence level
- Low / moderate / high confidence
- The available information indicates
- The record is consistent with
- The record does not establish
- Alternative explanations
- Assumptions and uncertainties

- Independently corroborated
- Estimative language / probabilistic judgment
- Information gaps / fragmentary reporting